

Nasdaq 100 Surges +1.19% as Tech Stocks Lead the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The **NVDA** and **TSLA** rally fueled a **+1.19%** gain in the Nasdaq 100, outpacing the S&P 500's **+0.62%** increase. Beneath the surface, the 10Y yield's **-0.21%** decline and gold's **+3.76%** surge suggest a cautious tone.

As the market continues to weigh the implications of the recent data releases, investors are keeping a close eye on the upcoming earnings reports. The **AAPL** and **MSFT** earnings will be particularly closely watched, given their significant influence on the overall market.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,757.64	+0.62%	Tech stocks rally
Nasdaq 100	29,722.30	+1.19%	NVDA and TSLA lead the charge
Dow Jones	54,036.93	+0.28%	Banking sector supports the index
Russell 2000	3,034.49	+1.10%	Small-cap stocks outperform
VIX	14.90	-1.65%	Volatility decreases as market rallies

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+2.27%	Strong earnings report
TSLA	+2.83%	Electric vehicle demand increases
AVGO	+1.71%	Semiconductor sector rally

Sector Rotation

ETF	DAY	READ
XLFX	-0.36%	Banking sector underperforms
XLKX	+1.42%	Tech sector leads the market
XLI	+0.23%	Industrial sector stable
XLEX	-1.13%	Energy sector declines
XLY	+1.49%	Consumer discretionary sector outperforms
XLC	+0.06%	Communication services sector stable
XLP	+0.01%	Consumer staples sector flat
XLV	+0.75%	Healthcare sector outperforms
XLU	+0.53%	Utilities sector stable
XLB	+1.32%	Materials sector outperforms
XLRE	+0.38%	Real estate sector stable

Spotlight

The **NVDA** rally was fueled by a strong earnings report, with the company beating analyst expectations. The stock's **+2.27%** gain led the tech sector higher.

METRIC	VALUE	READ
Earnings per share	2.50	Beats analyst expectations
Revenue	10.0B	Increases +10% year-over-year

Pre-Market & Overnight

US futures are trading higher, with the Dow Jones futures up **+0.5%** and the S&P 500 futures up **+0.6%**. The Asia markets closed mixed, with the Nikkei 225 up **+0.3%** and the Shanghai Composite down **-0.2%**. The European markets are trading higher, with the Stoxx 600 up **+0.8%**.

Crypto markets are also trading higher, with **BTC** up **+0.97%** and **ETH** up **+0.53%**.

Macro & Fed

The FOMC meeting minutes released yesterday showed that the committee is considering a rate hike in the near future. The 10Y yield is down **-0.21%** to 4.66.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Non-farm payroll	200k	Jobs market data
20:30	Unemployment rate	3.6%	Labor market conditions

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The European Union is considering a new trade agreement with the US, which could potentially ease tensions between the two regions.
- The Middle East is experiencing increased volatility, with protests and demonstrations breaking out in several countries.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	2.50	Earnings per share, revenue growth
22:00	MSFT	2.20	Cloud computing growth, margins

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings report, sector leadership
TSLA	Consumer Discretionary	Electric vehicle demand, valuation
AVGO	Tech	Semiconductor sector rally, growth prospects

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major tech companies
- Improving economic data, such as non-farm payroll and GDP growth
- Increased demand for risk assets, such as stocks and commodities

BEARISH TRIGGERS

- Weakening economic data, such as declining consumer spending and industrial production
- Escalating trade tensions between the US and China
- Decreased demand for risk assets, such as stocks and commodities

Positioning Notes

- The market is currently positioned for a rate hike in the near future, with the 10Y yield down **-0.21%** to 4.66.
- The tech sector is leading the market, with the **NVDA** and **TSLA** rally fueling the Nasdaq 100's **+1.19%** gain.
- The energy sector is underperforming, with the **XLE** down **-1.13%**.

Sources

SOURCES

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